ACF · Regulation, audit, ethics and sustainability — Question Patterns and Methods

Based on 35 past-exam parts, 2020–2025, their marking keys and the examiners' reports.

First: where marks are lost most

- Answers stay general and do not apply to the stimulus. Reports for this topic say most candidates did not give the required detail, did not refer to the stimulus material, and stated facts instead of relating them to the scenario (Patterns 1, 2 and 5).
- Accounting and Finance terminology is missing. Several reports say many candidates did not use the relevant terms (Patterns 1 and 3).
- Extended-answer parts run out of attempts. Reports for Section Three say the number of candidates attempting each part fell from part (a) to part (e), which the reports say may reflect poor time management (Patterns 2 and 4).
- Ethics and insolvency answers lack depth and specificity. Reports say answers frequently lacked depth and specificity and did not refer to the stimulus material (Patterns 5, 6 and 7).
- Multiple-choice items catch many candidates. The Section One report says most candidates were attracted to an incorrect alternative in Question 2; the report gives no year, so it is not tied to a specific paper here (Pattern 6). It also says Questions 6, 10 and 15 proved challenging for almost half of the candidates.

Pattern 1: Identify and explain reporting bodies

How often: 5/6 papers · 4.0 marks when it appears · 1.4% of a paper.

Recognise it: a stem that names ASIC, the ASX, the AASB, the IASB or the ISSB and asks which one regulates, develops, enforces or sets rules for financial reporting. Extended parts ask you to discuss or explain the importance of one body, or two bodies with a company example.

Method

1. Identify each body named and place it in the reporting system: standard-setter (AASB, IASB), regulator (ASIC), market operator and listing rules (ASX), or international standard-setter (IASB, ISSB).
2. For multiple choice, match the function to the body, and rule out the body that does a different job. Keep the AASB (standards) and ASIC (regulation and enforcement) separate.
3. For a 3-mark explanation, give one clear function of the body, such as supporting the financial system, protecting informed participation, administering or enforcing the law, or making company information publicly available.
4. For a 6-mark or 8-mark question, give a separate point for each body or function, and tie each one to the company or stimulus named in the question.
5. Close the answer with the effect on users of reports (investors, creditors, the market).

What the key rewards: for multiple choice, the one body whose role matches the stem. For a 3-mark explanation, one explained function of ASIC. For a two-body question, 3 marks for explaining each body's nature and importance. For the 8-mark discussion of ASIC's importance in regulating and influencing reporting, the award covers that discussion; the key states 1–3 marks as its stated lower quality levels.

Common errors: the reports say most candidates did not give the required level of detail or refer to the information provided, and many did not use relevant Accounting and Finance terminology. The awards show the gap: a 3-mark explanation needs an explained function, not a name, and a two-body question needs each body's nature and importance explained.

Past questions: 2025 MC Q6, 2025 MC Q8, 2025 EA Q22(d), 2023 MC Q7, 2023 SA Q19(d), 2022 MC Q4, 2022 MC Q8, 2021 MC Q13, 2020 MC Q5, 2020 EA Q21(e)

Pattern 2: Apply director duties and shareholder rights

How often: 4/6 papers · 7.0 marks when it appears · 2.0% of a paper.

Recognise it: "outline or describe three duties of directors" or "three rights of shareholders", often with a named company in the stimulus (for example a director pair who need to understand their responsibilities). Also multiple-choice items on dividends and shareholder rights.

Method

1. Read the count and the group: directors or shareholders, and how many items are required.
2. Name one duty or right under the Corporations Act 2001 (or the company's stated rules) in a short heading.
3. Describe what it requires or entitles the person to do, in one or two sentences.
4. Apply it to the named company or people in the stimulus.
5. Move to the next distinct duty or right. Do not repeat one point in different words.

What the key rewards: each distinct director duty identified and described, one per item, such as the duty of care and diligence, the duty to act honestly and in the company's best interests, the duty not to misuse position or information, the duty to disclose conflicts of interest, the duty to prevent insolvent trading, and the duty to keep adequate financial records. For shareholders, each distinct right described, such as the right to attend, discuss and vote in proportion to shareholding, the right to receive audited annual reports, the right to dividends as determined by directors, the right to dispose of shares, the right to ask a court to inspect records, and the right to repayment of capital after creditors in liquidation.

Common errors: listing a duty or right without describing it (the awards require each one to be identified and described). Stating facts about the topic instead of relating them to the stimulus, which the Section Three reports describe. The reports also note that the number of candidates attempting each part fell from part (a) to part (e), which may reflect poor time management.

Past questions: 2023 SA Q19(e), 2022 EA Q21(b), 2021 MC Q15, 2021 EA Q22(c), 2021 EA Q23(d), 2020 MC Q8

Pattern 3: Explain internal audit and control responses

How often: 3/6 papers · 6.3 marks when it appears · 1.4% of a paper.

Recognise it: "explain the purpose of an internal audit" with a second requirement, such as describing controls that detect and correct errors, identifying issues an internal audit could reveal, or showing how audit findings could help business planning with an example.

Method

1. State the purpose: an internal audit reviews records, workflows, processes or systems to find weaknesses, errors or deficiencies and to recommend improvements.
2. For each control, name the control and say how it detects or corrects an error or deficiency (for example, a reconciliation that compares records, or an authorisation step that stops unapproved transactions).
3. For issues the audit could reveal, name the issue and the sign that reveals it (for example, cash or inventory theft, employee collusion, unreconciled balances, unauthorised spending that causes an unusual rise in expenses).
4. For a planning link, state how a finding changes a business decision, then give one concrete example that ties the finding to the response.
5. Keep the purpose sentence short. Spend the marks on the controls and the planning response.

What the key rewards: an explanation of how internal audit checks procedures and controls, finds deficiencies or errors, and supports improvement; then one award per suitable control, each identified and described. For planning, awards for outlining how findings inform operational or business planning, and an example that links a finding to a response. For the issues question, one award for explaining the purpose and one per identified issue.

Common errors: naming a control without describing how it works (the awards require each control to be identified and described). Giving no example in the planning part (the award asks for an example linking a finding to a response). The reports say most candidates did not provide the required level of detail, and many did not use relevant terminology.

Past questions: 2025 EA Q22(b), 2022 EA Q21(c), 2020 EA Q22(e)

Pattern 4: Explain external audit and stakeholder assurance

How often: 4/6 papers · 4.0 marks when it appears · 1.2% of a paper.

Recognise it: "discuss the role of an external auditor", "describe two functions of the external audit" to named users, or a multiple-choice item on the auditor's opinion.

Method

1. State that the external auditor is independent of management and gives an opinion on whether the financial statements are true and fair in all material respects.
2. Name the users who rely on the report (shareholders, investors, lenders, suppliers) and the decision they make from it.
3. For each function, explain how independent examination lets users rely on the report.
4. Link the reliance to confidence in the capital market or to informed decisions, using the named users in the stimulus.
5. For two functions, give each its own paragraph so each can earn its own marks.

What the key rewards: for a 4-mark question, two separate awards: one for explaining how audited reports let external users rely on them when investing, lending or supplying, and one for how audited reports support confidence and informed decisions in Australian capital markets. For a 6-mark question, a 3-mark-level explanation for each of two functions. For a single discussion of the role, an award for the auditor examining reports and giving assurance to users.

Common errors: naming a function without explaining how it lets users rely on the report (the awards require that explanation). The Pattern 4 reports say neither Section Three question was completed to a high standard, and that the number of candidates attempting all parts of Question 21 declined from part (a) to part (e).

Past questions: 2024 SA Q21(c), 2023 EA Q21(e), 2021 MC Q11, 2021 EA Q22(d), 2020 MC Q1

Pattern 5: Evaluate ethical financial conduct

How often: 2/6 papers · 7.0 marks when it appears · 1.0% of a paper.

Recognise it: "discuss two ethical issues" that a named company or its directors have encountered in financial operations, especially where investors are affected.

Method

1. Identify the first ethical issue in the scenario and name the conduct in plain terms.
2. Link the conduct to the company's financial operations in the stimulus.
3. State who is affected (investors, creditors, employees, the market) and the consequence for them and for the company.
4. Repeat for the second issue as a separate paragraph.
5. Use Accounting and Finance terms for the conduct and the consequence, not general moral language.

What the key rewards: for each issue, a discussion that links the conduct to the company and its consequences (8 marks for two issues), or an explanation of each investor-related ethical issue at the 3-mark level (6 marks for two issues).

Common errors: general statements about ethics without naming the company, which the awards do not credit. The reports say answers frequently lacked depth and specificity and did not refer to the stimulus material. Issues without a consequence for investors or the company do not meet the award's wording.

Past questions: 2024 EA Q22(c), 2020 EA Q21(d)

Pattern 6: Explain insolvency and creditor priority

How often: 3/6 papers · 1.3 marks when it appears · 0.3% of a paper.

Recognise it: "describe insolvency to the directors", a question on the order in which funds are distributed when a company is insolvent, or why a company goes into liquidation.

Method

1. Define insolvency as the company's inability to pay its debts when they fall due.
2. For the order of priority, use the order in the answer option of 2023 MC Q2: employee wages and retrenchment pay first, then unsecured creditors, then shareholders. Secured creditors do not appear in that answer.
3. For a discussion of the process, state the purpose of the process and then the steps, linking them to the company's position.
4. Avoid mixing insolvency with having a poor profit. Insolvency is about the timing of debts.

What the key rewards: for the 6-mark question, an award for describing insolvency as the inability to pay debts when due. For the multiple-choice priority question, the one order that matches the key.

Common errors: describing insolvency without the award's point that it is the inability to pay debts when due. The Section One report says most candidates were attracted to an incorrect alternative in Question 2. The report gives no year, so it is listed here under this pattern but is not confirmed as 2023 MC Q2.

Past questions: 2024 EA Q22(b), 2023 MC Q2, 2020 MC Q11

Pattern 7: Explain voluntary administration

How often: 2/6 papers · 3.5 marks when it appears · 0.5% of a paper.

Recognise it: "discuss the process of voluntary administration", or an "explain alternative actions" question where the company is struggling to meet its debts.

Method

1. State who may appoint an administrator.
2. Describe the administrator's role in investigating the company's financial difficulties.
3. Explain the purpose of the process for the company and for creditors.
4. Set it out as steps in order, then state the result for the company in the stimulus.
5. If the question asks for alternatives, contrast voluntary administration with the other actions in one sentence each.

What the key rewards: an explanation of voluntary administration that covers who may appoint an administrator and how the company's financial difficulties are investigated (9-mark alternatives question), and a discussion of the process and its purpose for the company and creditors (6-mark question).

Common errors: describing voluntary administration without the award's content (who may appoint an administrator and how the difficulties are investigated, or the purpose for the company and creditors). The reports say answers frequently lacked depth and specificity and did not refer to the stimulus material.

Past questions: 2024 EA Q22(b), 2023 EA Q21(d)

Pattern 8: Explain receivership

How often: 2/6 papers · 3.5 marks when it appears · 0.5% of a paper.

Recognise it: "discuss liquidation and receivership as alternative actions", or "explain three alternative actions" for a company that cannot meet its debts, where a secured creditor is involved.

Method

1. Identify a receiver, appointed to act for a secured creditor.
2. Explain that the receiver realises (sells) the secured assets to repay the secured debt.

3. Build the answer through the rubric levels: a general comment, then a description, then an explanation, then a discussion of its effect on the company and creditors.
4. Contrast it briefly with liquidation (secured assets versus winding up the company as a whole).

What the key rewards: an 8-mark discussion where the rubric awards 1 for a general comment, 2 for description, 3 for explanation and 4 for discussion. For the 9-mark alternatives question, an explanation of receivership and how a secured creditor's receiver realises secured assets to repay the debt.

Common errors: a definition without the award's content (how the receiver realises secured assets to repay the debt). Stopping short of discussion: the rubric gives the top 4 marks only for discussion.

Past questions: 2025 EA Q22(c), 2023 EA Q21(d)

Pattern 9: Explain liquidation

How often: 2/6 papers · 3.5 marks when it appears · 0.5% of a paper.

Recognise it: "discuss liquidation and receivership as alternative actions", or the liquidation option in an alternatives question for an insolvent company.

Method

1. Describe liquidation as winding up the company: the company's assets are realised and the proceeds paid to creditors.
2. Explain that creditors' claims are assessed before any payment.
3. Explain the order of payment, using the priority order in Pattern 6.
4. For discussion marks, contrast liquidation with receivership and voluntary administration in one or two points, linked to the company in the stimulus.

What the key rewards: an 8-mark discussion where the rubric awards 1 for a general comment, 2 for description, 3 for explanation and 4 for discussion. For the 9-mark alternatives question, an explanation that covers creditor assessment and winding up assets to pay creditors.

Common errors: writing only a definition, without the creditor assessment and winding-up steps the award names. Stopping short of discussion: the rubric gives the top 4 marks only for discussion.

Past questions: 2025 EA Q22(c), 2023 EA Q21(d)

Pattern 10: Recognise climate risks, opportunities and emissions scopes

How often: 0/6 papers · n/a marks when it appears · n/a of a paper.

Recognise it: the definition names climate-related risks and opportunities in the current syllabus and the distinction between emissions scopes. No past question in the evidence shows the wording.

Method

1. Check whether the stem asks you to identify a climate-related risk or opportunity, or to distinguish emissions scopes.
2. Name the risk, opportunity or scope using the syllabus wording.
3. Give the feature that separates it: what makes it a risk or an opportunity, or how one scope differs from another, using the syllabus definitions, since the pack holds no key for this pattern.

What the key rewards: not in the evidence pack.

Common errors: not in the evidence pack.

Past questions: none in the evidence pack.

Pattern 11: Explain AASB S2 disclosure pillars

How often: 0/6 papers · n/a marks when it appears · n/a of a paper.

Recognise it: the definition names governance, strategy, risk management, and metrics and targets as the disclosure framework to explain or classify. No past question in the evidence shows the wording.

Method

1. Check whether the stem asks you to explain a pillar or to classify a disclosure under one.
2. Name the pillar using the syllabus wording: governance, strategy, risk management, or metrics and targets.
3. Match each part of the disclosure to the pillar it describes, and say why, using the syllabus definitions, since the pack holds no key for this pattern.

What the key rewards: not in the evidence pack.

Common errors: not in the evidence pack.

Past questions: none in the evidence pack.

Pattern 12: Evaluate sustainability reporting claims

How often: 0/6 papers · n/a marks when it appears · n/a of a paper.

Recognise it: the definition names interpreting a reporting entity's sustainability disclosures and evaluating evidence of greenwashing or bluewashing. No past question in the evidence shows the wording.

Method

1. Read the disclosure and identify the claim the entity makes.
2. Ask what evidence the entity gives for the claim.
3. Decide whether the evidence supports the claim. Name greenwashing or bluewashing only where the syllabus definition fits, using the syllabus definitions, since the pack holds no key for this pattern.

What the key rewards: not in the evidence pack.

Common errors: not in the evidence pack.

Past questions: none in the evidence pack.
